

BALAJI AMINES LIMITED

Equity Research Report

BSE: 530999 | NSE: BALAMINES | Sector: Specialty Chemicals

May 2026

India's Largest Aliphatic Amine Manufacturer	World's Largest DMAHCL Producer (~70% global share) (source: Tijori Finance)	Zero Debt Standalone Balance Sheet	50+ Countries Export Reach
---	--	---	--------------------------------------

Section 1: About the Company

1.1 Corporate Identity

Balaji Amines Limited (BAL), incorporated in **1988**, is a pioneering Indian chemical powerhouse headquartered in Solapur, Maharashtra. Over nearly four decades, the company has grown from a domestic amine producer into a globally integrated specialty chemical player and an Indian multinational with a presence in over **50 to 55 nations**. BAL is the **largest manufacturer of Aliphatic Amines in India** and holds the unique distinction of being the **only company in India to have developed indigenous technology** for manufacturing amines. Its primary listing is on both BSE (530999) and NSE (BALAMINES).

The company operates primarily in two business segments: its **Chemicals division** (accounting for over **97% of turnover**) and a smaller **Hotel division** through Balaji Sarovar Premier, Solapur's first five-star hotel.

1.2 Core Business Activities

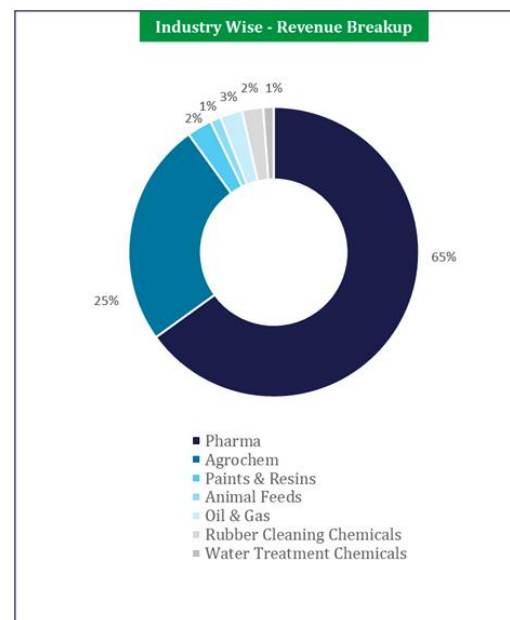
BAL's chemical business encompasses three vertically connected product categories:

- Aliphatic Amines:** Methylamines, Ethylamines, and Isopropylamines — the foundational building blocks of the entire derivative value chain.
- Amine Derivatives:** High-margin downstream products including DMAHCL (the critical Metformin intermediate), DMF, DMAc, and Choline Chloride.
- Specialty Chemicals & Solvents:** Niche import-substitute products such as Acetonitrile, Morpholine, NMP, GBL, N-Butylamine, Electronic Grade DMC, and the newly commissioned Dimethyl Ether (DME).

Through its subsidiary **Balaji Speciality Chemicals Limited (BSCL)**, the group is the sole manufacturer in India of niche chemicals including Ethylenediamine (EDA), Piperazine (Anhydrous), and Diethylenetriamine (DETA), manufactured via the specialised Monoethanol Amine (MEA) process.

	Amines	Amine derivatives	Speciality Chemicals
Description	- Aliphatic Amines find increasing consumption and applications in a chemically mature industry such as India, Europe, US, China and Japan - The Aliphatic Amines industry is expected to grow at a CAGR of 5%-7%	- Amine Derivatives are used to make further salts and other complex chemical Intermediates and API's - In derivatives, Di-Methyl Amine Hydrochloride (DMA HCL) is one of BAL's key product offerings	- Relatively small and fast-growing segment - Single-largest cluster within the speciality chemicals space
Products	- Mono Methyl Amine (MMA) - Di-Methyl Amine (DMA) - Tri-Methyl Amine (TMA) - Mono-Ethyl Amine (MEA) - Di-Ethyl Amine (DEA) - Tri-Ethyl Amine (TEA) - Di-Methyl Amino Ethanol (DMAE) - Di-Ethyl Amino Ethanol (DEAE) - N Butyl Amine	- Mono-Methyl Amine Hydrochloride (MMA HCL) - Di-Methyl Amine Hydrochloride (DMA HCL) - Tri-Methyl Amine Hydrochloride (TMA HCL) - Mono-Ethyl Amine Hydrochloride (MEA HCL) - Di-Ethyl Amine Hydrochloride (DEA HCL) - Tri-Ethyl Amine Hydrochloride (TEA HCL) - Di-Methyl Acetamide (DMAC) - Di-Methyl Urea (DMU) - Choline Chloride	- Morpholine - Acetonitrile (ACN) - Dimethylformamide (DMF) - N-Ethyl-2-Pyrrolidone (NEP) 2-Pyrrolidone (2-P) - Gamma Butyrolactone - N-Methyl-Pyrrolidone (NMP) - Pharmapure Povidone (PVP K30 & PVP K25) - Dimethyl Carbonate (DMC) - Propylene Glycol (PG) Technical & Food Grade - Propylene Carbonate (PC)

	Amines	Amine derivatives	Speciality Chemicals
Applications	- Pharma - Agro - Photographic chemicals - Rocket fuel - Dyestuff intermediates - Rubber chemicals, etc	- Pharma - Pesticides - Performance chemicals - Speciality chemicals - Animal/poultry feed additives etc.	- Production of Water Treatment chemicals and pesticide formulations - Fuel Additives and Battery Chemicals - Solvents across industries like pharmaceuticals, petrochemicals, dyes, Agro and paint industries - Formulations and Intermediates in pharmaceuticals - Lubricant Manufacturing



1.3 Strategic Philosophy

The company's growth philosophy is built on three interlocking pillars:

- **Import Substitution:** BAL systematically identifies chemicals that India currently imports and develops domestic manufacturing capabilities to replace them.
- **Vertical Integration:** Approximately **80% of basic amine production** is consumed captively to manufacture high-value downstream derivatives, capturing significantly better margins and providing operational resilience.

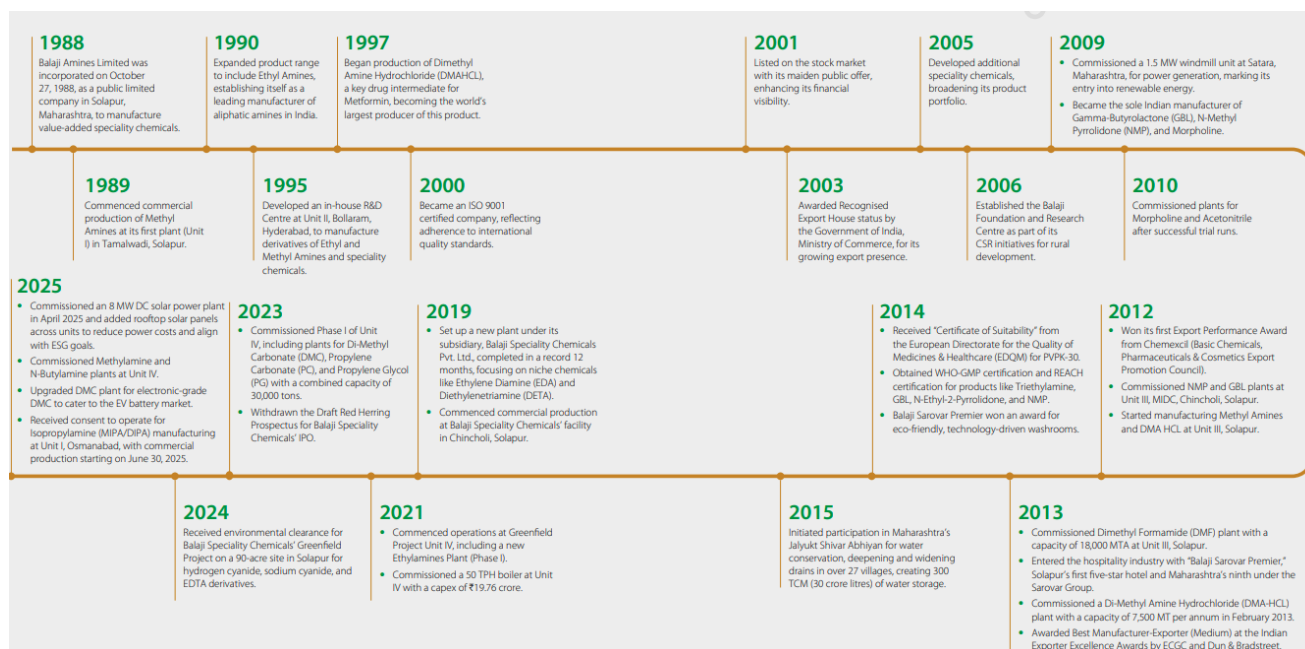
- **Atmanirbhar Bharat Alignment:** The company's capex pipeline is explicitly aligned with the government's self-reliance mission, making it a strategic beneficiary of industrial policy tailwinds.

1.5 Clients



1.5 Historical Timeline

The table below charts Balaji Amines' key strategic milestones from inception through its most recent capex commissioning:



1988	Incorporation of Balaji Amines Limited
1989	Commenced commercial production of Methyl Amines at Unit I, Solapur

1990	Expanded product range to include Ethyl Amines
1997	Began DMAHCL production; became world's largest producer of this Metformin intermediate
2001	Listed on BSE and NSE
2009	Entered renewable energy via windmill; became sole Indian manufacturer of GBL, NMP, and Morpholine
2010	Commissioned Morpholine & Acetonitrile plants; incorporated subsidiary BSCL
2013	Commissioned large-scale DMF plant; entered hospitality with Balaji Sarovar Premier hotel
2019	Commenced commercial operations at BSCL for niche import-substitute chemicals
2021	Commenced operations at 90-acre Greenfield Unit IV with new Ethylamines plant
2022	Commissioned DMC, Propylene Carbonate, and Propylene Glycol plants at Unit IV
2024	Commissioned new Methylamine plant (88,000 TPA) and N-Butylamine facility at Unit IV
2025	Commissioned 8 MW DC solar power plant; began Isopropylamine (MIPA/DIPA) production
2026	Commercially commissioned 1,00,000 TPA DME plant — India's only commercial-scale DME producer

Section 2: Manufacturing Footprint & Capacity

2.1 Overview

Balaji Amines operates **four world-class, fully automated manufacturing facilities** in Maharashtra and Telangana, strategically located near major customer hubs in western and southern India. All plants are equipped with **Distributed Control System (DCS)** technology and are **Zero Liquid Discharge (ZLD) facilities**. Total installed capacity for the standalone entity and its subsidiary stands at approximately **2,92,000 MTPA**, with the ongoing capex cycle targeting expansion to **4,15,000–4,16,000 MTPA** by the end of FY2026-27.

2.2 Unit-wise Manufacturing Profile

Unit	Location	Focus	Key Products / Notes
Unit I	Solapur, Maharashtra	Basic Amines & Key Derivatives	Methylamines, Ethylamines, Isopropylamines (MIPA/DIPA), DMAc, Dimethyl Urea, Choline Chloride

Unit	Location	Focus	Key Products / Notes
Unit II (Bollaram)	Medak, Telangana	Regional Production & Distribution	Supports western/southern customer clusters
Unit III	Solapur, Maharashtra	High-Value Solvents & Specialty Chemicals	DMF, Morpholine, Acetonitrile, PVPK-30, DMAHCL (world's largest)
Unit IV (Greenfield)	Solapur, Maharashtra (90 acres)	Capacity Expansion Hub	Ethylamines, DMC, PC, PG, N-Butylamine (Ph1&2); DME 1,00,000 TPA, NMM (Ph3)
BSCL Facility	Solapur, Maharashtra	Sole Indian manufacturer — MEA process	EDA, Piperazine (Anhydrous), DETA, AEEA, AEP — 30,000 MTPA installed capacity

2.3 The Vertical Integration Advantage

Vertical and horizontal integration is the cornerstone of BAL's competitive advantage, providing a dual benefit of **cost competitiveness** and **product switching flexibility**

- **Captive Consumption:** BAL consumes approximately **80% of its basic amine production** captively to manufacture high-value derivatives, protecting margins from raw material price swings that would otherwise pass directly through to competitors.
- **Value Chain Uplift:** By using basic amines as raw materials for derivatives, the company captures significantly higher realisations. For example, while basic Methylamines are relatively commoditised, downstream derivatives like DMAHCL, DMF, and DMAc command premium pricing due to their specialised nature and pharmaceutical-grade specifications.
- **Import Substitution Targeting:** Most capacity expansion targets chemicals where India relies on imports. DMC and N-Butylamine plants, for instance, were built to replace products previously 100% imported.
- **Operational Resilience:** During geopolitical volatility in early 2026, BAL maintained supplies through prudent inventory planning and its integrated model, while competitors without captive raw materials faced greater pressure.
- **Utility Integration:** The company has commissioned an **8 MW DC solar power plant** (scaling to 20 MW) providing captive green power, substantially reducing manufacturing costs. This now covers approximately **80% of manufacturing power needs**.

Section 3: Industry Analysis

3.1 What Are Amines?

Amines are organic compounds derived from ammonia (NH_3) where one or more hydrogen atoms are replaced by carbon-based groups. Think of them as ammonia's chemical cousins. They're the foundational building block — BAL manufactures three primary types: Methylamines, Ethylamines, and Isopropylamines. These are produced in bulk through a continuous process and are relatively commoditised in nature.

Amine Derivatives are what you get when you react basic amines with other chemicals to produce a higher-value, more specialised output. BAL consumes ~80% of its basic amine production captively to make these. Examples include DMAHCL (Methylamine + Hydrochloric Acid → the key ingredient for the diabetes drug Metformin), DMF, DMAc, and Choline Chloride. These are where the real margin sits — you're no longer selling a commodity, you're selling a pharma-grade or industrial-grade intermediate with specific purity requirements and long customer approval cycles attached.

Specialty Chemicals are niche, application-specific products that often serve a very particular industrial need and have very few global producers. In BAL's case this includes things like Morpholine, Acetonitrile, Electronic Grade DMC (for EV batteries), Propylene Carbonate, and DME. The "specialty" tag essentially means high barrier to entry, limited competition, and better pricing power — either because the chemistry is complex, the safety clearances are stringent, or the company is the sole domestic manufacturer.

The way to think about all three together: **amines are the raw material, derivatives are the value-add, and specialty chemicals are the moat**. BAL's entire competitive strategy is built on moving as far right along that chain as possible.

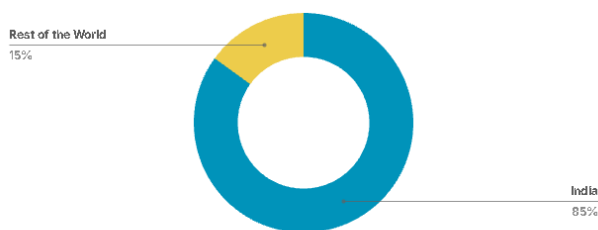
3.2 Global Dynamics: The China+1 Structural Shift

The global amines market is undergoing a fundamental structural realignment. China currently accounts for approximately **60% of global production** but several converging factors are prompting global supply chain diversification:

- **Environmental Crackdown:** Stringent pollution norms in China have led to abrupt shutdowns of chemical units, creating supply-demand mismatches and forcing global buyers to seek alternate vendors.
- **Rising Costs:** China's labour costs have risen sharply, and the withdrawal of government subsidies has weakened its traditional cost advantage.
- **De-risking by Global MNCs:** Global users are actively scouting for alternative suppliers to reduce over-dependence on Chinese supply chains. This 'China+1' strategy directly benefits Indian companies like BAL that possess the technical expertise to meet international quality standards.

3.3 The European Energy Crisis Opportunity

Since March 2022, the European energy crisis — driven by a surge in natural gas prices — has caused significant production outages and cost escalation for European specialty chemical manufacturers. Because **45–55% of Indian amine export revenue comes from Europe**, this has created a strategic opening for Indian players to gain market share as European production lines become less competitive.



Balaji Amines Location Wise Breakup

3.4 The Indian Amine Market

The Indian amine market is characterised by high growth potential and structural under-consumption:

- **Global Market Size:** The global amines market is projected to reach US\$23.5 billion by 2030, growing at a CAGR of 7.8%.
- **Consumption Gap:** India's per capita chemical consumption stands at approximately **US\$91**, strikingly low compared to over **US\$1,200** in mature markets like the US and China. As India corrects this structural under-consumption, the chemical sector — already contributing 7% to national GDP — is poised for robust acceleration.

3.5 High Barriers to Entry: The Oligopoly Moat

The amine industry is inherently oligopolistic, with only a few manufacturers catering to demand in any given region. This is due to several formidable barriers to entry:

- **Logistical Complexity:** Amines are corrosive and hazardous, making them extremely difficult and expensive to transport over long distances. This creates a natural 'local' market dynamic favouring credible nearby suppliers.
- **Technical Know-How:** Manufacturing processes are continuous and complex, requiring high levels of technical expertise. BAL is the only company in India to have developed its own indigenous amine manufacturing technology.
- **Capital Intensity:** The industry requires high fixed costs, with fixed asset turns typically hovering between 1.5x–2x. A new plant often takes 2–3 years to achieve break-even due to lengthy customer approval processes in regulated pharmaceutical sectors.
- **Regulatory Approval Cycles:** Because primary end-users operate in regulated pharma and agrochemical sectors, supplier qualification can take 2–3 years, creating significant switching costs that lock in incumbent relationships.

3.6 Demand Drivers: End-User Industries

- **Pharmaceuticals (51–65% of demand):** Amines are vital solvents and intermediates for life-saving drugs. BAL's DMAHCL is the essential raw material for Metformin (the leading Type 2 diabetes drug). Growth of India's CDMO segment and Western drug-maker migration to Indian suppliers are primary tailwinds.
- **Agrochemicals (~26% of demand):** Amines and derivatives are essential for herbicides, pesticides, and fungicides. Modernisation of Indian agriculture and higher crop-yield requirements continue to drive demand.

- **New-Age Sectors:** EV battery electrolytes (DMC, Propylene Carbonate), electronics-grade solvents, and clean aerosol fuels (DME) represent the next growth frontier. Animal feed additives (Choline Chloride) and water treatment chemicals provide additional diversification.

Section 4: Product Portfolio & End-User Segments

4.1 Core Product Categories

BAL's chemical offerings span three vertically connected categories that together form an integrated value chain from basic amines through to high-barrier specialty intermediates:

Aliphatic Amines

As India's largest manufacturer, BAL produces Methylamines (capacity recently expanded to 88,000 TPA), Ethylamines, and Isopropylamines (MIPA/DIPA). These serve as the foundational building blocks for the entire derivative value chain. Approximately 80% of this production is consumed captively.

Amine Derivatives

- **DMAHCL (Dimethyl Amine Hydrochloride):** BAL is the **world's largest producer** of this chemical, commanding approximately a 70% global market share. DMAHCL is the essential raw material for Metformin, the leading global drug for Type 2 diabetes.
- **DMF (Dimethyl Formamide):** A versatile solvent used in pharmaceutical and industrial applications.
- **DMAc (Dimethyl Acetamide):** Used in the fibre and pharmaceutical sectors.
- **Choline Chloride:** An essential nutrient used in poultry and animal feed.

Specialty Chemicals & Solvents

- **Acetonitrile & Morpholine:** Critical solvents for the pharmaceutical industry.
- **N-Butylamine:** New facility commissioned at Unit IV replacing products previously 100% imported.
- **DMC & Propylene Carbonate (PC):** Critical electrolytes for EV battery and semiconductor industries; BAL is India's sole Electronic Grade DMC manufacturer.
- **DME (Dimethyl Ether):** Successfully commissioned May 2026 at 1,00,000 TPA. A clean alternative to LPG for the aerosol industry and eligible for up to 8% industrial blending under BIS norms. BAL is the only Indian company manufacturing this at commercial scale.
- **PVPK-30:** Used as a binder in pharmaceutical formulations.

Aliphatic Amines — Methylamines · Ethylamines · Isopropylamines

INDUSTRY	PRODUCT / CHEMICAL	SPECIFIC NAME	END USE / ROLE
Pharma	API intermediates	Metformin, Ephedrine, Theophylline	Basic amines act as the starting raw material; Methylamine is the precursor molecule in Metformin synthesis (world's most-used diabetes drug)

INDUSTRY	PRODUCT / CHEMICAL	SPECIFIC NAME	END USE / ROLE
Agro	Herbicides / Pesticides	Glyphosate, Atrazine, Chlorpyrifos	Methylamines and Ethylamines are core building blocks in herbicide and pesticide formulation; used in salt-form conversion of active molecules
Agro	Fungicides	Mancozeb, Iprodione	Isopropylamine (DIPA/MIPA) used in fungicide intermediate synthesis; protects crops from mold and soil-borne disease
Industrial	Rubber chemicals	Accelerators (TMTD, CBS)	Methylamines used to synthesise rubber vulcanisation accelerators — speed up and control rubber hardening in tyre manufacturing
Industrial	Gas treatment	CO ₂ /H ₂ S scrubbing	Ethylamines (MEA, DEA) used in gas sweetening to remove CO ₂ and H ₂ S from natural gas and refinery streams
Water treatment	Corrosion inhibitors	Cyclohexylamine, Morpholine	Amines neutralise acidic condensate in steam boilers and pipelines, preventing corrosion

• Amine Derivatives — DMAHCL · DMF · DMAc · Morpholine · Choline Chloride · Acetonitrile

INDUSTRY	PRODUCT / CHEMICAL	SPECIFIC NAME	END USE / ROLE
Pharma	DMAHCL	Metformin (diabetes), Ranitidine (ulcer)	BAL is the world's largest producer (~70% global share); DMAHCL is the direct precursor molecule in synthesising Metformin — the No.1 anti-diabetic drug globally
Pharma	DMF (Dimethyl Formamide)	API solvent — antibiotics, antivirals	High-polarity solvent used to dissolve and react API molecules during drug synthesis; also used in synthetic leather and acrylic fibre production
Pharma	DMAc (Dimethyl Acetamide)	API solvent — injectable drugs	Solvent for pharmaceutical synthesis, particularly injectable formulations; also used in manufacturing Lycra / spandex fibre
Pharma	Acetonitrile	HPLC solvent, DNA synthesis	The primary solvent in HPLC (lab analysis for drug purity testing); used in oligonucleotide (DNA/RNA) synthesis for biotech drugs
Pharma	Morpholine	Antifungals, analgesics	Used as intermediate in synthesis of several antifungal and pain-relief drugs; also used as a corrosion inhibitor in steam boilers
Agro	DMF	Pesticide formulation	Serves as a carrier and reaction solvent in manufacturing certain pesticide active ingredients
Animal feed	Choline Chloride	Poultry feed, livestock nutrition	Essential B-vitamin supplement (Vitamin B4) added to poultry and livestock feed to support liver function, egg production and growth

INDUSTRY	PRODUCT / CHEMICAL	SPECIFIC NAME	END USE / ROLE
Industrial	Morpholine	Wax coatings, fruit coating	Used as a surface coating on fruits (approved food-grade wax) and in industrial surface treatment agents
• Specialty Chemicals — DMC · DME · EDA · Piperazine · DETA · EDTA · PVPK			
INDUSTRY	PRODUCT / CHEMICAL	SPECIFIC NAME	END USE / ROLE
EV / Energy	DMC (Electronic Grade)	Lithium-ion battery electrolyte	Key solvent in the electrolyte solution of lithium-ion batteries (EVs, smartphones, laptops); BAL is India's sole Electronic Grade DMC manufacturer
EV / Energy	Propylene Carbonate (PC)	Li-ion battery electrolyte	Used alongside DMC in battery electrolyte formulations; also used as a polar solvent in cosmetics and industrial cleaners
Aerosol / Fuel	DME (Dimethyl Ether)	Deodorants, paints, insecticides; LPG blend	Replaces LPG as aerosol propellant in personal care and household products; BIS-approved for up to 20% blending with LPG for cooking/industrial use; BAL is India's only commercial-scale producer
Agro	EDA (Ethylenediamine)	Fungicides — Mancozeb, Zineb	EDA is a core building block for dithiocarbamate fungicides widely used in protecting fruits, vegetables, and cereal crops from fungal disease; BSCL is India's sole EDA producer
Pharma	Piperazine (Anhydrous)	Anthelmintics (deworming drugs)	Direct active ingredient in anti-parasitic/deworming drugs; also an intermediate for antihistamines (Cetirizine) and anti-anxiety drugs
Industrial	DETA (Diethylenetriamine)	Epoxy hardeners, coatings, adhesives	Curing agent for epoxy resins used in industrial coatings, flooring, marine paints, and structural adhesives; also a chelating agent in water treatment
Water treatment	EDTA (from BSCL expansion)	Chelating agent — industrial water, healthcare	Binds and removes heavy metal ions from water; used in IV-administered chelation therapy for heavy metal poisoning; also used in food preservation and cleaning products
Pharma	PVPK-30	Tablet binder	Polyvinylpyrrolidone used as a binding agent in pharmaceutical tablet manufacturing; holds active ingredients together and controls drug release
Industrial	NMM (N-Methyl Morpholine)	Catalyst in polyurethane foam	Used as a catalyst in polyurethane foam production (mattresses, car seats, insulation panels); also a solvent in pharmaceutical synthesis

4.2 Subsidiary Portfolio: BSCL

Through Balaji Speciality Chemicals Limited (BSCL), the group further strengthens its portfolio as the **sole manufacturer in India** of:

- **Ethylenediamine (EDA):** Used in pharmaceuticals, agrochemicals (fungicides), and polymers.
- **Piperazine Anhydrous (PIP):** Used in pharmaceuticals and oilfield applications.
- **Diethylenetriamine (DETA):** Essential for coatings, polymers, and pharma.
- **AEAA & AEP:** Catering to diverse specialty chemical applications.

All EDA and DETA products are **REACH certified**, allowing frictionless exports to the European Union and other regulated international markets. BSCL currently serves over **250 customers globally**.

4.3 End-User Segment Analysis

- **Pharmaceuticals (Primary Driver — 51–61% of demand):** Beyond DMAHCL for Metformin, BAL provides a wide range of solvents and intermediates for APIs and drug formulations. This segment provides stable, long-cycle demand with significant switching costs for customers.
- **Agrochemicals (~26% of demand):** Vital for herbicides, pesticides, and fungicides. Growth in Indian agricultural modernisation and global crop-protection demand provide a steady tailwind.
- **EV & Energy Sectors:** DMC and Propylene Carbonate serve as critical electrolytes for the growing electric vehicle market.
- **Animal Feed:** Choline Chloride serves the poultry and livestock nutrition segment.
- **Industrial & Others:** Water treatment, rubber chemicals, dyes, and oil & gas sectors further diversify the revenue base.

Balaji Sarovar Premiere – Q4FY26 Operating Matrix



Section 5: Subsidiary Deep-Dive — Balaji Speciality Chemicals Limited (BSCL)

5.1 Overview & Market Position

Balaji Speciality Chemicals Limited (BSCL) functions as the group's specialised arm for high-margin import substitutes and niche chemistries. Incorporated in 2010 and located in Solapur, Maharashtra, BAL holds a **55% stake** in BSCL (the remaining 45% held privately by the promoter group). BSCL is uniquely positioned as the **sole manufacturer in India** of several critical niche chemicals using the advanced Monoethanol Amine (MEA) process, with current installed capacity of **30,000 MTPA**.

5.2 Current Performance & Near-Term Challenges

In FY2024-25, BSCL faced significant headwinds, primarily due to **aggressive dumping practices by China**, which led to persistent pricing pressure across its EDA and DETA product lines. The plant also operated intermittently to facilitate necessary technical modifications. These factors combined to produce a temporary decline in revenue and EBITDA versus previous high-growth years.

Management expects this pressure to ease as the group's INR 750 crore expansion shifts BSCL's product mix toward higher-value chemicals where Chinese dumping is less economically viable due to the extreme hazardous nature and safety clearances involved.

5.3 The INR 750 Crore Expansion Plan

BSCL is executing a transformative INR 750 crore expansion that has been accorded **Mega Project Status** by the Government of Maharashtra under the Package Scheme of Incentives (PSI), 2019.

The plan has two strategic pillars:

Pillar 1 — Brownfield Expansion (Unit I, Solapur)

Installation of additional reactors to manufacture advanced EDA-based value-added products:

- **TETA (Triethylenetetramine)** and **PEHA (Pentaethylenhexamine)** — products that command significantly better realisations than standard EDA.
- Expected commissioning: **H1 FY2026-27**.

Pillar 2 — Greenfield Expansion (Unit II, MIDC Chincholi)

A massive project centred on **Cyanation Chemistry** — a high-barrier segment characterised by extreme entry barriers due to the hazardous nature of the products and the stringent safety clearances required:

- **Phase I:** Hydrogen Cyanide (HCN), Sodium Cyanide (NaCN — both solution and pellets), EDTA, and EDTA-2Na derivatives (indispensable in mining, water treatment, and healthcare). Expected commissioning: **Q4 FY2026-27**.
- **Phase II:** Benzyl Cyanide (BnCN) and Phenylacetic Acid (PAA) — downstream extensions of the cyanide value chain.

5.4 Funding Strategy for the INR 750 Crore Expansion

Management has guided that the expansion will be funded primarily through **internal accruals and BSCL's operating profitability**, aligned with the group's broader self-funded growth narrative. Key components of the funding strategy include:

- **Internal Accruals:** BSCL's own cash balances and operating profitability are expected to fund the bulk of the capex.
 - **Phased Execution:** The phased approach is designed to generate incremental cash flows from early project stages, which are then reinvested to support subsequent investments.
 - **IPO Deferral:** The group had originally planned a BSCL IPO to partially fund growth, but the draft prospectus was withdrawn in September 2023. Management has guided that they prefer to have all new products fully operational before revisiting an IPO.
-

- **Tactical Borrowing:** The group's FY26 consolidated financials show INR 133 crore in debt, which management explicitly attributes to 'ongoing expansion-related activities' — a minor tactical lever to ensure timely execution of the Cyanide complex.

Section 6: Strategic Growth & Capex Pipeline

6.1 The Transformative Capex Cycle

Balaji Amines is currently at the inflection point of a multi-year capital expenditure cycle aimed at doubling its installed capacity to approximately **4,15,000–4,16,000 MTPA** by the end of FY2026-27. The strategy involves moving beyond basic amines into high-value specialty intermediates, new-age energy solutions, and high-barrier cyanide chemistries — transitioning BAL into 'blue ocean' territories where it faces little to no domestic competition.

6.2 Full Capex Pipeline

Balaji Amines	Product	Existing Installed Capacity (TPA)	Proposed Capacity (TPA)	Total Capacity after Expansions (TPA)	Application Areas
	Methyl Amine	88,000	-	88,000	Pharma, Agro, Dye & Rubber
	Ethyl Amine	22,500	-	22,500	Pharma, Agro, Dye & Rubber
	DMAHCL / DMAC	31,000	7,500	38,500	Pharma
	Choline Chloride 60% (Corn Cob)	6,000	-	6,000	Animal Feed
	Choline Chloride 75% & 98%	6,000	-	6,000	Animal Feed
	2P / NEP	-	-	-	Pharma, Agro, Petro, Dyes, Paints
	NMP	33,000	-	33,000	Pharma, Agro, Petro, Dyes, Paints
	GBL	-	-	-	Pharma, Agro, Petro, Dyes, Paints
	DMU	3,600	-	3,600	Pharma, Textile, Agro
	DMAE / DEAE	2,000	-	2,000	Cosmetics
	Morpholine	10,000	-	10,000	Pharma, Agro, Dyes, Paints, Textile, Rubber
	Other HCL'S	750	-	750	Animal Feed
	DMF	30,000	-	30,000	Pharma, Agro, Polymers, Petro, Dyes, Paints
	Acetonitrile (ACN)	9,000	9,000	18,000	Pharma, Petro, Textile, Plastics
	PVP K-30	750	-	750	Pharma, Agro, Cosmetics
	Di-methyl Carbonate (DMC)	15,000	-	15,000	Pharma, Polycarbonate, Automobiles
	Propylene Glycol (PG)	15,000	-	15,000	Food Grade
	Dimethyl Ether (DME)	-	1,00,000	1,00,000	Replacement of LPG
	n-Butylamine	15,000	-	15,000	Pharma, Agro
	N-Methyl Morpholine (NMM)	-	5,000	5,000	Pharma , Oil & Gas
	MIPA/DIPA	6,000	-	6,000	Pharma, Agro, Dyestuff
	Total	2,93,600	1,21,500	4,15,100	

Balaji Specialty Chemicals	Product	Existing Installed Capacity (TPA)	Proposed Capacity (TPA)	Total Capacity after Expansions (TPA)	Application Areas
	Ethylenediamine	37,350	-	37,350	Pharma, Fungicides, Pesticides, Polymers and Coatings
	Piperazine	4,050	3,300	7,350	Pharma, Oilfield
	Diethylenetriamine	3,150	8,900	12,050	Coatings, Polymers, Pharma
	Mixture of Amines (AEP, AEEA, HEP)	780	1,000	1,780	Multiple Industries
	Mixture of TEPA & PEHA	-	1,000	1,000	Epoxy curing agents, Polyamide resins, Corrosion inhibitors, Adhesives and Sealants
	Hydrogen Cyanide	-	10,000	10,000	Pharmaceuticals and agrochemicals, Mining chemicals
	Sodium Cyanide (100% Pellet)	-	12,000	12,000	Gold and silver mining, Electroplating, Chemical intermediates
	Triethylenetetraamine (TETA)	-	3,000	3,000	Epoxy curing agents, Polyamide resins, Fuel additives, Corrosion inhibitors
	Ammonium Sulphate	-	7,500	7,500	Fertilizers, Industrial applications, Chemical intermediates
	Sodium Sulphate	-	5,300	5,300	Detergents and soaps, Glass manufacturing, Textile processing, Pulp and paper
	Ethylene Diamine Tetra Acetic Acid (EDTA) & Ethylene Diamine Tetra Acetic Acid Disodium (EDTA-2Na)	-	5,000	5,000	Pharmaceuticals, Detergents and cleaning formulations
	Total	45,330	57,000	1,02,330	

6.3 The DME Opportunity in Detail

The **1,00,000 TPA Dimethyl Ether (DME) plant**, commissioned on May 20, 2026, is a landmark project that makes BAL the **only company in India to manufacture DME at commercial scale**. DME is a 'new-age gas' that serves as:

- A clean, eco-friendly substitute for LPG in the aerosol industry (deodorants, paints, insecticides).
- An industrial and commercial fuel blend — BIS has sanctioned up to **8% DME blending** with LPG — opening a massive domestic market opportunity.
- A potential alternative fuel for transportation and power generation applications.

6.4 Financial Discipline & Management Guidance

- **Zero-Debt Funding Model:** All ongoing capex projects at the parent level are funded entirely through internal accruals. The standalone entity remains completely debt-free.
- **Consolidated Debt (FY26):** INR 133 crore, attributable entirely to BSCL's expansion, representing a negligible leverage ratio of 0.01x on a net worth of INR 2,152 crore.
- **Volume Growth Guidance:** Management guides for **10–15% volume growth in FY2026-27**.
- **Revenue Target:** Consolidated revenue of **INR 3,000 crore by FY2027-28**, implying roughly 2x recovery from the FY25-26 normalised base.
- **ESG Capex:** Solar power plant scaling from 8 MW to 20 MW to cover manufacturing power needs; Air Cooled condensers and ZLD systems reducing fresh water consumption by **80–85%**.

Section 7: Competitive Moats & SWOT Analysis

7.1 Structural Competitive Advantages

Moat 1: Indigenous Technology

BAL is the only company in India to have developed its own indigenous technology for manufacturing amines. While competitors rely on expensive foreign technical collaborations, BAL's in-house R&D allows it to indigenise solutions, meaningfully lowering manufacturing costs and improving process efficiency. This know-how is proprietary and essentially non-replicable without decades of investment.

Moat 2: Vertical & Horizontal Integration

Approximately **80% captive consumption** of basic amines for derivative manufacture provides a dual advantage: cost competitiveness and the flexibility to shift product mix based on market demand. This integration protects margins during pricing downturns in a way that non-integrated competitors cannot match.

Moat 3: Logistical & Hazardous Handling Barriers

Amines are corrosive and hazardous, making international transportation extremely difficult and expensive. This creates a natural 'local' market advantage for BAL, whose plants are strategically

located near major customer clusters in western and southern India. These logistical barriers make sustained dumping from international competitors structurally challenging.

Moat 4: First-Mover in Import Substitution

BAL's philosophy is to 'cherry-pick' chemicals that are currently 100% imported into India and become the first domestic manufacturer. By establishing itself as the first mover — in DMC, EDA derivatives, and now DME — it typically enjoys a 'product space of one' for several years, during which it can establish customer relationships and quality certifications that create durable switching costs.

Moat 5: Customer Approval Cycle as a Moat

In regulated sectors like pharma and agrochemicals, obtaining supplier qualification from a new vendor takes **2–3 years**. Once BAL is approved, this creates significant inertia in favour of the incumbent. Competitors seeking to displace BAL face this same qualification burden, providing a durable revenue protection mechanism.

Moat 6: Scale in High-Barrier Niches

BAL's status as the **world's largest DMAHCL producer** (~70% global market share) and the **sole Indian manufacturer** of DMC, DME, EDA, Piperazine, and DETA gives it pricing power that no domestic competitor can challenge. The upcoming Cyanide complex at BSCL will add further 'sole manufacturer' designations in an even higher-barrier segment.

Section 8: Leadership Structure

The promoter group is primarily composed of the **Ande, Dundurapu, and Nomula families**, who have spearheaded the company since its inception in 1988.

- **Mr. Ande Prathap Reddy (Executive Chairman)**
 - **Brief Profile:** He incorporated Balaji Amines Limited in 1988 and has more than 52 years of total experience, including 34 years specifically in the chemical industry. He is recognized for his entrepreneurial skills and vision, which established the company as a global leader in amines.
 - **Educational Background:** He holds a **Diploma in Civil Engineering (LCE)** from the State Board of Technical Education and Training.
 - **Relationship:** He is the **father of Mr. Ande Srinivas Reddy** (Whole-time Director & CFO), the **uncle of Mr. Dundurapu Ram Reddy** (Managing Director), and the father-in-law of Mr. Hemanth Reddy Gaddam.
 - **Mr. Dundurapu Ram Reddy (Managing Director)**
 - **Brief Profile:** Associated with the company since 1988, he has more than 38 years of experience in procurement, marketing, sales, and general administration. He has been instrumental in securing landmark supply contracts with global specialty chemical leaders and received a **Lifetime Achievement Award** in July 2024.
 - **Educational Background:** He joined Bharat Cement Pipe Industries as a Manager in 1980 before promoting Balaji Cement Products Pvt. Ltd. and eventually joining BAL.
 - **Relationship:** He is the **nephew of Mr. Ande Prathap Reddy** and the **cousin of Mr. Ande Srinivas Reddy**.
 - **Mr. Rajeshwar Reddy Nomula (Whole-time Director)**
-

- **Brief Profile:** He has over 48 years of experience across various industries and joined the Board in 1988. He is responsible for the day-to-day **operations at the manufacturing plants in Solapur** and is known for executing projects cost-effectively and within schedule.
- **Educational Background:** He is a **Commerce Graduate (B.Com)**.
- **Relationship:** He is the **brother-in-law of Mr. Hemanth Reddy Gaddam** (a member of the promoter group and director of the subsidiary BSCL).
- **Mr. Ande Srinivas Reddy (Whole-time Director & CFO)**
 - **Brief Profile:** He has over 28 years of experience in project management, having worked with Fortune 100 companies in the USA (e.g., Sprint, Goodyear, Agilent). He joined the BAL board in 2013 and is currently responsible for **new expansion projects, new technologies, and financial functions**.
 - **Educational Background:** He is a **Post Graduate in Computer Science** and completed the **Executive Management Programme at the Indian School of Business (ISB)**, Hyderabad.
 - **Relationship:** He is the **son of Mr. Ande Prathap Reddy**, the **cousin of Mr. Dundurapu Ram Reddy**, and the brother-in-law of Mr. Hemanth Reddy Gaddam.

Key Managerial Personnel (KMP)

As per the latest regulatory filings, the following individuals are designated as the Key Managerial Personnel of the company:

1. **Mr. Ande Prathap Reddy:** Executive Chairman.
2. **Mr. Dundurapu Ram Reddy:** Managing Director.
3. **Mr. Rajeshwar Reddy Nomula:** Whole-time Director.
4. **Mr. Ande Srinivas Reddy:** Whole-time Director & Chief Financial Officer (CFO).
5. **Mr. Abhijeet Shailesh Kothadiya:** Company Secretary & Compliance Officer.
 - **Brief Profile:** Appointed as Company Secretary effective **December 31, 2024**, following the resignation of the previous CS, Mr. Lakhan Dargad.
 - **Educational Background:** He is a member of the Institute of Company Secretaries of India (**ICSI Membership No. A68288**).
 - **Relationship:** No familial relationship with the promoters is mentioned in the sources; he functions as a professional officer of the company.

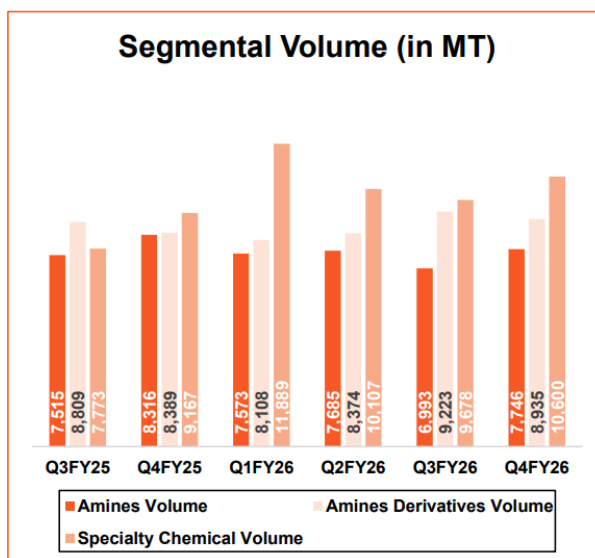
Section 9: Financial Profile & Credit Metrics

9.1 Revenue & Profitability Trends

BAL's financial performance has reflected the broader volatility in the global specialty chemical cycle, moving through a sharp pandemic-era boom followed by a normalisation period driven by Chinese dumping and global destocking:

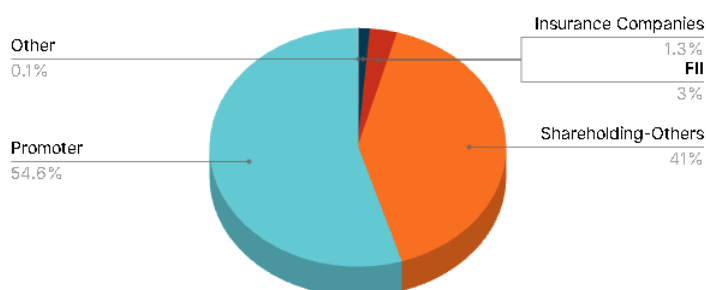
- **FY23 (Peak):** Consolidated revenue reached **INR 2,371 crore** with EBITDA margins of 26–28%, driven by post-pandemic supply shortages and elevated pricing.
 - **FY25 (Trough):** Revenue normalised to **INR 1,430 crore** as Chinese imports returned aggressively and global destocking pressured volumes and realisations across the amine value chain.
 - **FY26 (Recovery Underway):** Consolidated revenue recovered modestly to **INR 1,454 crore** with a full-year EBITDA margin of **20%** (standalone: 21%).
-

- **Q4 FY26 Inflection:** A significant margin recovery was noted in Q4 FY26, where consolidated EBITDA margins jumped to **25%** (from 19% in Q4 FY25), driven by a favourable product mix, improved operating leverage, and prudent inventory planning.



9.2 Capital Structure & Solvency Metrics

- **Standalone Zero-Debt Status:** The parent company has maintained a completely debt-free balance sheet throughout its expansion, showcasing exceptional financial discipline. All parent-level capex projects are funded via internal accruals.
- **Consolidated Debt Transition (FY26):** The group reported INR 133 crore in total consolidated debt in FY26 (up from INR 11 crore in FY25), attributed entirely to expansion activities at BSCL. This represents a negligible leverage ratio of 0.01x against a consolidated net worth of INR 2,152 crore.
- **Net Cash Position:** Despite the increase in consolidated debt, the company maintains a net cash position at the group level, given the significant equity base.
- **Working Capital Efficiency:** Peak average utilisation of working capital facilities has historically remained extremely low (approximately 1.2% for fund-based limits), reflecting strong liquidity and cash-generation capability.



	Mar 2022	Mar 2023	Mar 2024	Mar 2025	Mar 2026
Promoters +	53.70%	53.71%	53.71%	54.62%	54.59%
FII's +	3.99%	4.45%	4.92%	5.09%	2.99%
DII's +	0.16%	0.34%	1.48%	1.48%	1.46%
Public +	42.15%	41.50%	39.91%	38.83%	40.96%
No. of Shareholders	1,21,044	1,36,644	1,38,017	1,27,442	1,15,754

9.3 Credit Rating & Outlook

As of June 2025, **India Ratings (Ind-Ra)** revised the outlook on BAL's bank facilities to **Negative** from Stable while **affirming the 'IND AA' rating**.

- **Rationale for Negative Outlook:** Reflects the sharp decline in revenue and margins during FY25, coupled with underutilisation of newly commissioned capacities (DMC, Butylamine) and subdued BSCL performance amid Chinese dumping.
- **Affirmation Drivers:** The 'IND AA' rating is supported by BAL's strong market position in an oligopolistic industry, comfortable credit metrics, zero standalone debt, and the structural strength of its integrated business model.

9.4 Return Ratios & Efficiency

- **Core ROCE:** Consolidated ROCE dropped to 11% in FY25 during the heavy capex phase. However, the core chemical business (excluding hotel and non-productive CWIP) delivered a **Core ROCE of 13%** in FY26, demonstrating the underlying earnings quality of the chemical operations.
- **Earnings Inflection Ahead:** Management anticipates that as new capacities (particularly the Cyanide complex and DME) stabilise, they will drive a meaningful earnings inflection beginning in FY2026-27, with the group targeting consolidated revenue of INR 3,000 crore by FY2027-28.

9.5 Financial Snapshot (Consolidated)

P&L					
Financials	Mar-26	Mar-25	Mar-24	Mar-23	Mar-22
Sales	1,425	1,397	1,642	2,355	2,323
% yoy	2%	-15%	-30%	1%	77%
Gross Margins	43.7%	44.1%	45.0%	47.1%	47.4%
EBITDA	265	232	324	609	623
OPM	18.6%	16.6%	19.7%	25.9%	26.8%
Depreciation	56	48	45	46	42
EBIT	209	184	278	564	581
Interest Cost	5	4	6	12	17
Other Income	29	33	30	15	15
PBT	232	213	302	567	578
Tax	63	55	69	161	160
Tax %	27%	26%	23%	28%	28%
Adj. PAT	167	158	205	326	368